

Document Management System Selection: Recommendation

Vandelay Industries Legal Department · January 2018

VANDELAY INDUSTRIES, INC. · LEGAL DEPARTMENT

MEMORANDUM

To	Simon Rasmussen, General Counsel; Priya Raghunathan, Chief Financial Officer
From	Sofia Pellegrini, Legal Technology Manager; Ada Paredes, Paralegal Manager (co-lead, user evaluation)
Date	January 15, 2018
Re	Recommendation to select Archstone DMS as the Legal Department's document management system
Decision requested	Approval to execute a three-year Master Subscription Agreement with Archstone Software, Inc. for 190 users at \$38.00 per user per month (\$86,640 per year), plus a one-time implementation fee of \$24,000

1. Background

The Legal Department's documents currently live in three places: the departmental file share (approximately 1.2 TB, organized by lawyer rather than by matter), individual Outlook mailboxes, and a legacy on-premises document repository (Filebridge 6) used by Litigation and inherited from the 2011 acquisition of Brightwater Maritime. None of the three is searchable across the department, none supports ethical walls, and the Filebridge server reaches end of support in December 2018.

In September 2017 the General Counsel sponsored a selection project with three objectives: a single, matter-centric repository for the whole department; filing of email alongside documents; and a foundation for the contract lifecycle management program planned for 2019.

2. Process

A working group of eleven (lawyers from Commercial, Litigation, and Regulatory; two paralegals; one executive assistant; Legal Technology; Records; Corporate IT; Procurement) issued a request for proposal in October 2017 to four vendors. Three responded and completed scripted demonstrations and a two-week hands-on trial with twenty users in November and December.

Vendor	Product	Summary
Archstone Software	Archstone DMS (cloud)	Legal-specific, matter-centric, strong Outlook integration, cloud-hosted with US data residency
Filebridge	Filebridge 8 (on-premises upgrade)	Incumbent for Litigation; requires new server infrastructure; weak email filing
Hooli	Hooli Drive for Business	Enterprise file sync and share already licensed by Corporate IT; no matter-centric model or ethical walls at the time of evaluation

The fourth vendor declined to bid on a department of fewer than 500 users.

3. Evaluation

Scores are the working group's consensus on a 1 to 5 scale, weighted by the criteria agreed in September 2017.

Criterion (weight)	Archstone DMS	Filebridge 8	Hooli Drive
Matter-centric organization and search (25%)	4.6	3.4	2.1
Email filing from Outlook (20%)	4.7	2.8	2.5
Security, ethical walls, audit (15%)	4.3	3.9	2.4
Integration roadmap, including CLM (15%)	4.0	2.6	3.2
User experience in trial (15%)	4.2	3.1	3.8

Three-year total cost (10%)	3.6	3.0	4.7
Weighted score	4.33	3.15	2.91

Trial participants rated Archstone highest on every criterion except cost. Paralegals, in particular, reported that Archstone's workspace model matched how they already organize matter files. The Hooli option was the least expensive but was not, in 2017, a legal document management system.

4. Commercial terms

Archstone's proposal, negotiated by Procurement, provides: 190 users at \$38.00 per user per month with a 3 percent annual increase during the initial three-year term; 3 TB of included storage; implementation, migration of the 1.2 TB file share, and administrator training for a one-time fee of \$24,000; standard support; and a 99.9 percent availability commitment with service credits. The agreement is governed by New York law. Renewal after the initial term is automatic for twelve-month periods unless either party gives 60 days' notice, and Archstone may adjust pricing at renewal on 30 days' notice; Procurement has noted this as a point to revisit at the first renewal.

5. What Archstone committed to

The following commitments were made in Archstone's proposal and demonstrations and are recorded here so that the department can hold the vendor to them:

1. **Adoption.** Archstone's implementation methodology "routinely achieves 90 percent active use within twelve months" with the training program included in the implementation fee.
2. **Search.** Full-text and metadata search returning results in under two seconds for repositories of our size.
3. **Email.** Predictive filing suggestions in Outlook that "learn from each user's filing behavior within the first thirty days."
4. **CLM integration.** A supported API and a certified connector program; Archstone stated that a connector to our planned contract lifecycle management platform would be "available or buildable within the 2019 planning horizon."
5. **International performance.** Comparable performance for the London office through Archstone's content delivery network, with an EU hosting region "planned for 2019."
6. **Support.** One-hour first response for Priority 1 issues and a named account manager.

6. Risks and mitigations

Risk	Mitigation
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Cloud hosting of privileged material	Encryption in transit and at rest; SOC 2 Type II report reviewed by Corporate IT Security; contractual confidentiality and legal-process notice provisions
Adoption by lawyers who prefer email and personal folders	Training program; Archstone Mail's Outlook integration; paralegal champions in each practice group
Vendor concentration	Data export provisions in the agreement; annual review of alternatives at budget time
Pricing at renewal	Procurement to open renewal discussions at least six months before the initial term ends

7. Recommendation

The working group unanimously recommends Archstone DMS. We request approval to execute the Master Subscription Agreement and to begin implementation in March 2018 with a target go-live for all practice groups by June 2018.

/s/ Sofia Pellegrini Legal Technology Manager

/s/ Ada Paredes Paralegal Manager

Approved: /s/ Simon Rasmussen, General Counsel, January 22, 2018 Approved: /s/ Priya Raghunathan, Chief Financial Officer, January 24, 2018